

US Bond Market **Weekly Update**

10yr Treasury 4.57% ▲ 18 bps MTD	2yr Treasury 4.08% ▲ 20 bps MTD	IG OAS 75 bps ▼ 6 bps MTD	HY OAS 278 bps ▲ 1 bps MTD
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WORD ON THE DESK

The week ending May 22 was defined by a single, persistent macro force: elevated energy prices stemming from the ongoing conflict in Iran, which kept oil above \$100 per barrel and reinforced the market's conviction that the disinflation narrative has stalled. Against that backdrop, Treasuries sold off across the curve, with the long end bearing the brunt of inflation-premium repricing — a dynamic that pressured both investment-grade and high-yield total returns into negative territory. Portfolio positioning implications are straightforward: duration remains a headwind, and any tactical exposure at the long end requires a high conviction view on conflict resolution or demand destruction that the market is not yet pricing. In the week ahead, participants will be closely watching crude oil price action, any diplomatic developments in the Middle East, and the next round of inflation data releases for confirmation of whether this energy-driven impulse is broadening into core price pressures.

MARKET COMMENTARY

01 Geopolitical risk dominated the macro landscape as the ongoing war in Iran showed no signs of resolution, keeping oil prices above \$100 per barrel throughout the week. Bond traders responded by selling long-duration government debt across the U.S. and other developed markets, citing the direct pass-through from energy costs into headline inflation expectations. The market impact was most acute at the long end of the Treasury curve, where the 20- and 30-year sectors bore disproportionate pressure.

→ This event was first flagged on May 14 with sustained market impact confirmed again on May 16 — the multi-day persistence of the selloff signal suggests this is a structural repricing of the inflation risk premium, not a one-session technical move.

→ Energy-driven inflation shocks historically compress real yields and steepen curves; the current episode appears consistent with that pattern, with important implications for MBS prepayment assumptions and credit spread volatility.

02 Treasury yields rose materially across the curve on a month-to-date basis, with the benchmark 10-year note closing at 4.57% [DATA: as of 2026-05-21] versus a month-start level of 4.39% — a move of 18 basis points. The 2-year yield climbed to 4.08% [DATA: as of 2026-05-21] from 3.88% at month-start, while the 30-year reached 5.10% [DATA: as of 2026-05-21] against an opening month level of 4.97%. The 2s10s spread stands at approximately 49 basis points and 2s30s at roughly 102 basis points, indicating a curve that is steepening modestly as the long end prices elevated term and inflation premia.

→ On a year-over-year basis, yields are actually slightly lower across the curve — the 10-year is 4.57% versus 4.54% a year ago, and the 30-year is 5.10% versus 5.05% — suggesting the secular rate environment remains broadly stable even as near-term volatility spikes.

→ The steepening bias in 2s30s warrants attention for liability-driven investors and duration-matched mandates; a further move toward 120–130 bps would represent a meaningful departure from the range that characterized Q1 2026.

03 Investment-grade corporate credit spreads tightened 6 basis points month-to-date to 75 bps OAS [DATA: as of 2026-05-21], a notable outperformance on a spread basis even as underlying Treasury rates moved sharply higher. Despite this spread compression, IG total returns came in at -0.36% [DATA: as of 2026-05-21] on the month, reflecting the dominant negative contribution from duration as rates rose. The divergence between spread performance and total return underscores the challenge facing IG investors in a rising-rate, geopolitically volatile environment.

→ Primary market supply dynamics likely contributed to spread tightening; robust corporate issuance early in May tends to be met with strong institutional demand, which can compress secondary market spreads even when macro conditions are unsettled.

→ At 75 bps, IG OAS remains well inside long-run historical averages and offers limited cushion against further rate or spread volatility — investors should assess whether current all-in yields justify extending duration or credit risk at these levels.

04 High-yield spreads widened modestly month-to-date by 1 basis point to 278 bps OAS [DATA: as of 2026-05-21], a near-flat spread performance that nonetheless translated into a -0.26% total return [DATA: as of 2026-05-21] as the rate move weighed on the asset class. The marginal spread widening relative to IG's compression suggests a mild differentiation in risk appetite, though HY's lower duration profile provided a relative buffer on the total return line versus investment grade.

→ At 278 bps, HY OAS remains historically tight and does not yet reflect meaningful credit deterioration concerns — however, sustained \$100+ oil prices could begin to stress energy-importing sectors and consumer-facing issuers in the HY universe if the shock persists.

→ The HY-IG spread differential of approximately 203 bps is consistent with a benign credit cycle; any deterioration in oil-sensitive credits or consumer fundamentals could widen this differential meaningfully into the summer.

05 Agency MBS and the broader securitized sector faced a challenging week given the sharp rise in longer-dated Treasury yields, which extends the expected duration of mortgage pools and reduces prepayment speed assumptions. No specific MBS OAS or return data was available in this week's payload, but the rate context — 10-year Treasuries up 18 basis points month-to-date and 30-year yields at 5.10% — is unambiguously negative for MBS convexity profiles. Elevated mortgage rates will continue to suppress refinancing activity and lock in negative convexity extension risk across current-coupon pools.

→ The positive read for MBS holders is that slower prepayments extend cash flow duration and support carry in a higher-rate environment, but only if spread-to-swaps remains stable — a risk worth monitoring if Treasury volatility persists.

→ Investors benchmarked to the Agg should be aware that MBS underperformance relative to IG corporates — given spread compression in the latter — could create index tracking challenges in May.

06 No Federal Reserve speakers were included in this week's data payload, leaving markets without fresh guidance from policymakers to offset the inflation anxiety generated by elevated oil prices. The absence of Fed communication in a week marked by material yield moves and a live geopolitical inflation shock is itself noteworthy — markets are pricing risk without an anchor from the Committee, which may amplify volatility. Participants will be focused on any upcoming Fed appearances for confirmation of whether the FOMC views the energy-driven inflation impulse as transitory or as a reason to delay any prospective easing.

→ With the 2-year note at 4.08% [DATA: as of 2026-05-21] versus a month-start of 3.88%, the front end is beginning to price out near-term cut expectations — a trend that would accelerate if inflation data in the coming weeks surprises to the upside.

→ Any Fed speaker next week who distinguishes between energy-driven headline inflation and underlying core dynamics will be closely parsed for signals on the policy reaction function.

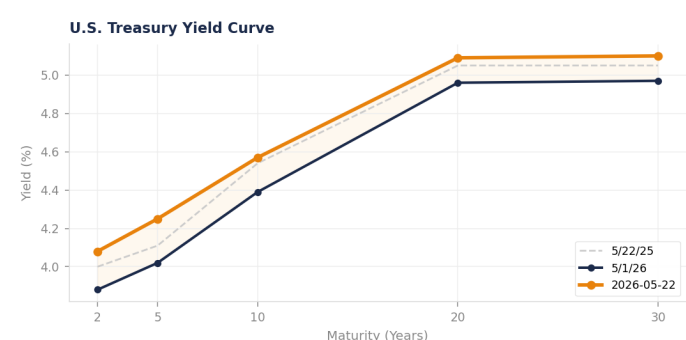
07 The macro and inflation backdrop remains the dominant market driver, with oil above \$100 per barrel serving as a persistent headwind to the disinflationary trajectory that bond markets had been pricing for much of early 2026.

Year-over-year yield comparisons show the 2-year is 8 basis points higher than a year ago at 4.08% [DATA: as of 2026-05-21], while the 10-year is only 3 basis points above year-ago levels at 4.57% [DATA: as of 2026-05-21] — suggesting that the market is still not fully capitulating on a sustained higher-for-longer outcome, but the risk of a more decisive repricing grows with each week that oil remains elevated.

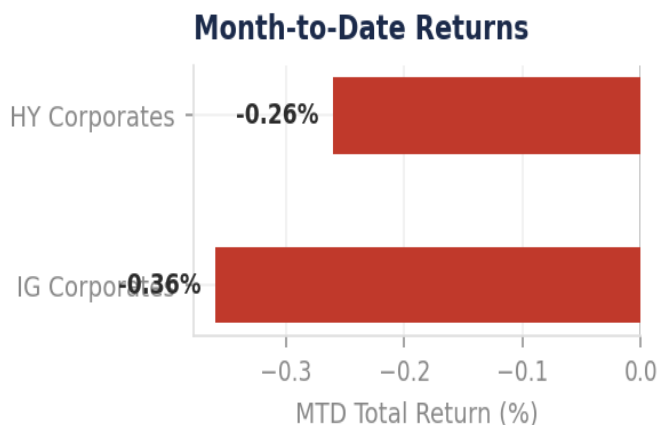
→ Forward CPI prints will be critical: if energy prices feed into core services and goods inflation, the case for a cautious, duration-short posture strengthens considerably across mandates.

→ Portfolio managers should revisit breakeven inflation levels and TIPS positioning — if real yields begin to decline alongside nominal yield increases, that would confirm the market is pricing a genuine stagflationary risk premium.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.08	4.25	4.57	5.09	5.10
MTD (bps)	+20	+23	+18	+13	+13



Sector	OAS (bps)	MTD Chg
IG Corporate	75	-6
HY Corporate	278	+1

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.08%	2026-05-21	FRED:DGS2
5yr Treasury	4.25%	2026-05-21	FRED:DGS5
10yr Treasury	4.57%	2026-05-21	FRED:DGS10
20yr Treasury	5.09%	2026-05-21	FRED:DGS20
30yr Treasury	5.10%	2026-05-21	FRED:DGS30
IG OAS	75.0 bps	2026-05-21	FRED:BAMLC0A0CM
HY OAS	278.0 bps	2026-05-21	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-0.36%	2026-05-21	FRED:BAMLC0A0CMTRIV
HY Corporates MTD Return	-0.26%	2026-05-21	FRED:BAMLHYH0A0HYM2TRIV